SAMPLE

The GDP Advance Report

The Economy's Quarterly Scorecard — Advance Estimates, Revisions, and What the Prin

Aiman Sterling

Free sample: Introduction & Chapter 1

putrabooks.github.io

Buy the full book:

Ko-fi

Chapter 1: Introduction

Once a quarter, the Bureau of Economic Analysis answers the market's biggest question — how fast is the economy growing? — and then answers it again, and again. The GDP report's first answer, the advance estimate, lands near the end of the month following each quarter's close: the quarter's total output, annualized, inflation-adjusted, decomposed into the components that produced it. It is the calendar's slowest big number — a quarterly scorecard in a monthly-data world — and the market's treatment of it has changed more in the last decade than any other release in this series, because the GDP print went from revealing the quarter to confirming it.

The nowcast era did it. The Atlanta Fed's GDPNow model — and the private trackers around it — have published running estimates of the quarter's growth for weeks before the advance print, absorbing each monthly input (the jobs reports, the CPI and PCE family, the retail sales and trade releases) as it lands. By advance morning, the market has a number it has watched converge for a month. The print grades the nowcast; it rarely surprises the prepared.

That is this book's central fact, and it splits the event into the two trades this series knows well: the confirmation playbook (grade the advance against the nowcast, trade the reveal rows, embrace the quiet morning — Book 6's discipline, at quarterly tempo) and the composition read (the components beneath the headline — because a 2.5% quarter built on consumer strength trades differently than a 2.5% quarter built on an inventory pile-up, and the components are where the quarter's character lives).

And one more structure this book adds to the series: the vintage layer. The advance print is the first of three estimates, revised twice more and then annually — a revision culture opposite to CPI's permanence (Book 5) and closer to payrolls' (Book 4), but at quarterly depth. The trader's GDP ledger holds the vintage: which estimate, revised from what, converging toward what.

The chapters, in the series' order: what the index measures (Chapter 2), the three vintages and the revision culture (Chapter 3), the expenditure components and their behaviors (Chapter 4), the arithmetic — annualization, real-versus-nominal, quarterly base effects (Chapter 5), the noise components that distort the headline (Chapter 6), the nowcast machine (Chapter 7), the reaction structure and its growth-regime tables (Chapter 8), the era's case studies (Chapter 9), the release playbook (Chapter 10), risk and the sheet (Chapter 11), and the plan (Chapter 12).

The prerequisite frameworks are assumed — the expectation gap, the two-wave structure, the composition method — and one is extended: the series' component discipline, built on monthly releases, now works at quarterly depth, where the components are larger shares of a bigger number and the composition carries regime weight. A trader who has absorbed Books 4-6 reads this book as the fourth panel of the data wing's screen: labor, inflation, and now growth, the three gauges of the

mandate, on one calendar.

The quarterly scorecard, taken properly, begins with what it measures — the accounts' grand total.

Where the book sits in the series

Books 1-3 built the policy-event stack (the speech, the meeting, the presser); Books 4-6 built the data wing's labor and inflation panels; this book completes the data wing with the growth panel — the BEA's quarterly account, the scorecard the whole narrative apparatus argues about. The growth print is the synthesis event of the series: it is built from the other panels' outputs (the jobs and inflation and retail data are its inputs), it is pre-announced by their nowcasts, and it is priced against the policy narrative the first three books' events set. Reading it well requires the whole series behind it — which is why it sits here, seventh: the framework's panels all live before the synthesis is legible.

The book's chapters, as in every volume, build construction-before-arithmetic-before-composition-before-expectations-before-reaction-before-histo
The new layers this book contributes to the series: the vintage layer (dating every number — a habit worth carrying to every account, quarterly or not), the noise-pair arbitration (final sales as the headline's honest judge), and the regime flip's two-table structure (growth's good-news/bad-news inversion, the mirror of the inflation table, and the era's most profitable ledger entry to have caught).

The book's two gifts to your binder

Every book in this series contributes layers the others do not carry, and this one's two: the vintage discipline — the habit of dating every number to its estimate-generation, grading drafts as drafts, and pricing revisions as calendar events — which transfers to every account you will ever read (corporate reports included: earnings vintages, guidance revisions, the same structure); and the regime-flip structure — the growth print's two reaction tables, the good-news inversion, and the marker's maintenance as the trade of the era. A trader who internalizes both adds a quarterly-deep version of the composition method and the most profitable pattern of the modern record to the series' standing file.

Begin, as always, with what the number is: the economy's output, measured from the accounts' expenditure side — the identity's four blocks, the grand total, and the measurement machinery behind them.

The scorecard's book, opened — and the data wing's capstone, begun.

Chapter 2: What GDP Measures

Gross Domestic Product is the total market value of final goods and services produced in the United States in a period — the economy's output, measured from the accounts

the BEA keeps. Every property of the release — its quarterly tempo, its revision culture, its nowcastability — flows from the measurement's structure, and the structure is worth the trader's full attention.

The expenditure identity

The BEA publishes GDP three ways in principle (production, income, expenditure), and the market trades the expenditure accounting — the identity that decomposes output into demand:

GDP = C + I + G + NX

- C — Personal consumption expenditures: households' spending on services and goods, roughly two-thirds of the total — the economy's center of gravity, and the PCE index's home ground (Book 6's report is this component's monthly pulse) - I — Gross private domestic investment: business fixed investment (structures, equipment, intellectual property), residential investment, and the change in private inventories — the volatile tail, the cycle's swing component - G — Government consumption and investment: federal (defense and nondefense) plus state and local — the stabilizer, occasionally the story (the shutdown cases of Chapter 9) - NX — Net exports: exports minus imports — the arithmetic trap (imports subtract, because they are consumption satisfied by foreign production), and the noise generator of Chapter 6

The identity is the composition discipline's map: the advance headline is the sum, and the desks' first hour is spent inside the sum — which component carried the quarter, what it means, and what it implies for the next.

Real, annualized, quarter-over-quarter

The headline number is real GDP — output measured in constant prices, the inflation stripped out (via the price indexes of Book 6's family). The quoted growth rate is the quarter-over-quarter change, annualized — the quarter's growth compounded to a yearly pace — a construction with real trading consequences (Chapter 5 takes the arithmetic in full).

The trader's two lines on the report's first page: the annualized q/q growth rate (the banner: "the economy grew at 2.8%") and the GDP price index (the quarter's inflation deflator — a PCE-family measure, and the quarterly anchor of Book 6's file).

The accounts' source data — and the advance's soft edges

The BEA builds the quarterly accounts from the monthly source data — the census surveys, the monthly income-and-outlays reports, the trade releases — and the advance estimate is built from the partial data: roughly the first two months of the quarter for many categories, the third month estimated from the source data's usual patterns and the related indicators that have already printed. The advance is, by design, the accounts' first draft — the reason for the vintage culture of Chapter 3, and the standing caution printed in this book's own disclaimer: the advance is a

preliminary estimate of a preliminary estimate of an economy, and it is traded for what it signals, not what it measures.

What GDP is not

Not a welfare measure. GDP measures market production — not distribution, not well-being, not the household's lived economy. The public debate about GDP's adequacy is real and interesting; it is not a trading input. The market prices the accounts' definition, and the definition is fixed.

Not the monthly pulse. GDP is the quarterly aggregate of data the market has already priced monthly — the reason the event became a confirmation. The monthly releases (the data wing of this series) are the inputs; the GDP is the summary; the trader who prices the inputs already holds most of the print.

Not the recession's referee. The business-cycle dating committee that declares recessions uses monthly indicators — employment, real income, sales, output — not the two-negative-quarters rule of thumb. The "technical recession" framing (two negative prints without a declared recession) is a media construction, and Chapter 9's 2022 case covers exactly this gap — the prints, the declaration that never came, and the market's treatment of the difference.

The accounts' grand total, then: a quarterly, deflated, annualized, component-decomposable estimate of the economy's output — and the next chapter's subject is its most distinctive property, the three-vintage structure that no other release in this series shares.

The monthly inputs, mapped

The advance's information content is largely the monthly family's, and the trader's preparation map is the input schedule: the quarter's three jobs reports (the labor block's evidence), the three CPI/PCE cycles (the deflator's derivation), the retail sales releases (the goods-consumption block), the trade prints (the NX line), the inventories data (the noise generator), and the housing starts and permits series (the residential investment line). Each input's arrival moved the nowcast; the advance settles the aggregation. The trader who has followed the series' data books has, by advance week, watched the quarter build monthly — and the advance's genuine surprise, when it comes, is almost always the residual the inputs could not see: the soft investment data, the deflator's advance-quality, the trade timing. The surprise map, in other words, is knowable in advance — the nowcast's blind spots are published facts about the data's arrival order, and the sheet pre-marks them (Chapter 11's expectations block).

The income side, briefly: GDI

The accounts' other door, worth one section: Gross Domestic Income — the same output measured from the income side (wages, profits, rents, interest) — which in

principle equals GDP and in practice differs, the statistical discrepancy absorbing the measurement gap. The GDI line is published with the same vintages, and the desks watch it for one standing reason: the two measures' divergence is itself information — the research record (the Fed's own studies included) documenting that GDI has sometimes read the cycle's turns earlier than GDP, and the "two-door" file (GDP and GDI, both dated to vintage) is the deeper trader's growth read. The binder note: the headline event trades GDP; the honest file holds both doors, and the discrepancy line between them.

The accounts, as a house

The BEA's accounts are one house with many rooms: the GDP report, the PCE report (Book 6's monthly pulse), the income measures, the corporate profits releases, the trade accounts. The trader's structural understanding: the quarterly GDP print is the house's front door — the summary of rooms that have already been visited monthly. This is the nowcast era's deeper truth, not merely a tracking convenience: the market knows the quarter because the market priced the inputs, and the advance's genuine information is confined to the rooms the monthly data does not cover. The preparation maps those rooms (Chapter 11's surprise map); the print settles the rest.

The quarter's assembly, end to end

The full picture of how the quarterly number comes to exist, compressed to the trader's working knowledge: the quarter closes; the BEA's advance (roughly four weeks later) assembles the identity's blocks from the source data — the monthly surveys that have printed, the partial months estimated, the residual components modeled; the second estimate adds the completed months; the third settles the quarter's file pending the annual cycle. The assembly's trading meaning, restated in one line: the advance is the identity's blocks filled with the monthly family's data plus estimates — and every block's data quality is a published fact about the release's surprise potential. The trader's preparation is, in substance, a data-quality audit: which blocks are measured, which estimated, which modeled — the audit's output being the surprise map that drives the whole morning's sizing.

The BEA, credited

One institutional note for the record: the Bureau of Economic Analysis — the accounts' keeper since the Commerce Department's statistical services consolidated — publishes the entire apparatus freely, on schedule, with its methodology documented and its revisions announced in advance. The trader's standing gratitude, and the practical point it buys: every layer this book describes (the vintages, the final-sales family, the deflator's construction, the noise pair's mechanics) is public, published, and pre-announced — the preparation culture this series teaches exists because the event's structure is fully documented before it happens. The GDP calendar is the best-documented show in markets; the trader's edge is only ever the willingness to do the documented reading.

Chapter 3: The Three Vintages

The GDP report is not one number but a sequence: the advance estimate, the second estimate, the third estimate, and then the annual revisions — each vintage refining the same quarter's account as the source data completes. The sequence is the release's structural signature, and trading it requires holding something the monthly releases never demanded: a dated number, graded against the vintage it belongs to.

The schedule

For each quarter, the BEA publishes three quarterly vintages, roughly a month apart: the advance (the month after quarter-close, built on partial data), the second (the first revision, the third month's data arriving), and the third (the final quarterly estimate, the annual and comprehensive revisions following on their own calendar, with the comprehensive updates re-running whole histories occasionally as the source data and methods are re-benchmarked).

The advance-to-third revision pattern, documented by the BEA's own studies: the advance is unbiased on average — the revisions center near zero across the long record — but the dispersion is meaningful, with notable quarters revised by a full point or more of annualized growth. The trader's compressed version: the average is honest, the individual quarter is a draft — and the release's grading culture treats the advance as the first word, not the last.

Why the vintage matters for trading

Three consequences carry trading weight:

The headline's shelf life. The advance print is the loudest (the quarter's first answer, fully graded against the nowcast), but the second and third vintages can re-shape the quarter's narrative — the revision-driven repricing is quieter but real, and the desks' GDP file holds all three. The event calendar, honestly run, includes the second and third releases — most months quiet, occasionally the story (a revision big enough to flip the quarter's character: the near-zero-to-negative flips, the trend-busting rewrites).

The data quality's known schedule. The advance is built on partial data by construction — the third month of the quarter largely estimated for many components. The components differ in their data quality at the advance: the consumption side is well-anchored (the monthly retail and PCE data cover most of it), while the investment side — inventories, structures — is the softest (the source surveys lag the quarter). The advance's surprises therefore concentrate in the soft components: the inventory and investment lines, Chapter 6's noise generators, are also the vintage's error bands.

The revision season's standing trade. The annual revision cycle (and the occasional comprehensive rewrite) is a calendar event of its own — the histories re-run, the

trends re-marked, the models re-fit. The desks treat the release week's revision for what it can be: the year's account changing under the market's feet, with the models that priced the old history now grading against the new. The trader's note: the revision season is on the calendar; the sheet's regime notes carry it.

The vintage, graded

The series' grading discipline, extended with the vintage layer: every GDP number is filed with its vintage (advance, second, third, annual-revised), and the ledger's surprises are graded in vintage-aware terms — an advance print surprising the nowcast is a signal event; a third-vintage print surprising the second is a revision event; the two trade differently, size differently, and mean different things for the quarter's standing narrative. The book's binder rule: date every number. The accounts will revise it; the trader who does not is holding last quarter's map into this quarter's territory.

The revision, traded

The revision releases' honest trade profile: quiet, mostly — but with a standing exception worth pre-marking every quarter. The flip-risk case: an advance near the zero line, where the second vintage's revision can cross the sign and change the quarter's label — the "near-zero advance" is the revision trade's setup, priced in advance by the error bands (the advance's dispersion documented by the BEA's studies), and the desks' options positioning ahead of the second release carries exactly this risk. The 2022 first quarter's vintage history is the canonical public case: the advance's negative, the subsequent revisions' reshaping, and the label's contested life through the summer's coverage — the revision sequence itself becoming the narrative.

The binder's revision rules, three lines: pre-mark the flip-risk quarters (the advance's error band crossing the sign is the trigger); trade the revision's direction, not its size (the sign-flip is the narrative event; the tenths are noise); close the quarter's file at the third vintage (the narrative settles, the position's checkpoints end, and the ledger's line is final).

The comprehensive revisions, and the history rewrites

The vintage sequence's final layer: the annual updates (each July, historically) revising the recent years as the source data completes, and the comprehensive updates (roughly each five-year cycle) re-benchmarking the whole account — methodological changes, re-definitions, the statistical picture of history itself rewritten. The trading note is the standing humility of the whole vintage discipline: the GDP numbers quoted in any era are the current account's version of history, and the trader comparing across decades holds vintages the eras' traders never saw. The practical rules: the comprehensive week is a calendar event (models re-fit, the historical comparisons re-marked); the July annuals move the recent quarters' records (and occasionally the

narratives); and the binder's era file notes which vintage each case study was drawn from — the 2020 extremes, for instance, settled at levels the advance headlines never printed, and the later references quote the settled record.

The vintage ledger, specified

The full vintage discipline, as the ledger's standing format: each quarter occupies four rows — the advance, the second, the third, the annual-revised — each row dated, each holding the vintage's four numbers (headline, final sales, noise pair, deflator) and the revision's delta from the prior row. The file's readings, quarterly: the stability (a quarter whose rows agree is a settled narrative; a quarter that wanders is an unsettled account — and the wandering itself is information about the source data's quality); the bias (do the vintages run hot or cold in this era? the answer feeds the draft-discount); and the revision's market treatment (which vintage moves the tape, in which regime — the ledger's answer to "does the revision matter," established empirically rather than assumed). The whole discipline costs five minutes a month of filing and buys the one thing the GDP calendar otherwise cannot: a memory — the account's history of its own revisions, held against the next draft's claims.

The advance's privilege, defended

The vintage culture's paradox, stated and defended: the advance is the worst estimate and the loudest event — the first answer, the full surprise's grade, the market's repricing — while the better estimates arrive quietly. The paradox is honest: the market prices information arrival, not measurement quality — the advance resolves the quarter's argument (Chapter 7's convergence's settlement), and the revisions merely annotate the settled case. The trader's defense of the privilege, in practice: the advance is traded with the draft-discount (Chapter 11's sizing), but it is traded — the quiet revisions do not substitute for the settlement's repricing, and the trader who "waits for the third estimate" has missed the event the market actually runs. The vintage's humility sizes the position; the advance's privilege still sets the trade.

The vintages, in one line for the binder: the advance trades, the revisions annotate, the annuals rewrite the library — and every number carries its generation's date.

Chapter 4: The Expenditure Components

The headline is a sum, and the quarter's character is in the addends. This chapter is the component guide — each expenditure block's behavior, weight, and narrative role — the composition discipline of the series, run at quarterly depth.

C — Consumption: the center of gravity

Roughly two-thirds of GDP, consumption is the economy's base rate: services (the larger share) and goods (the cyclical swing). Its quarterly prints are the smoothest of

the blocks — the monthly retail sales and PCE reports (the family's inputs) pre-announce most of it — and the composition question within it is the goods-services balance: a quarter carried by goods consumption reads as the goods cycle's testimony (the pandemic rotations and their unwinds being the era's canonical episodes), a services-led quarter as the post-normalization economy's signature.

The desk's read: consumption's contribution to the growth rate, decomposed against the nowcast's build — a consumption surprise against the nowcast is the rarest kind (the monthly inputs covered it), and the quarter's genuine information usually lives elsewhere.

I — Investment: the cycle's swing

Business fixed investment (equipment, intellectual property, structures), residential investment, and inventories. The block's share is modest but its volatility is the cycle's: investment collapses and rebounds at the turns, and the quarters at cycle inflections are investment quarters — the character of a slowdown's first prints is usually the business-investment line softening while consumption holds.

The sub-blocks, for the sheet: structures (the slowest, project-based), equipment and IP (the tech cycle's line — the AI-era investment surge being the recent era's story), residential (the housing market's GDP shadow — rate-sensitive, and the era's most watched contribution line), and inventories (the noise generator, promoted to Chapter 6).

G — Government: the stabilizer, occasionally the story

Federal defense, federal nondefense, and state-local spending: stable, slow, and usually boring — until it isn't. The shutdown cases (Chapter 9) are the government line's event trades: the 2013 and 2018-19 episodes' effects visible in the quarterly prints, the 2023 episode's resolution effects, and the defense-driven quarters of the rearmament era. The desk's read: the government line is the policy's fiscal stance made quarterly — a stabilizer in slowdowns, a drag in shutdowns, a swing factor in the defense build-ups.

NX — Net exports: the arithmetic trap

Exports minus imports: the identity's most misunderstood component. Imports subtract from GDP by construction — not because imports are bad, but because the expenditure identity measures domestic production (an imported good is counted in C but subtracted in NX, netting to zero). The trading consequences are treacherous and recurring: quarters where a surge in imports (domestic demand strong, foreign-sourced) mechanically drags the growth print — the economy looking weaker in the accounts than in reality; quarters where collapsing imports (demand failing) mechanically boost the print — the 2020 collapse quarter's arithmetic famously distorted by the import collapse. The desk's rule: net exports' contributions are read as domestic demand's mirror, not as trade's news — the import line is C's echo,

inverted.

ABOUT THE AUTHOR

Aiman Sterling writes the Impact News series -- a trader's field guides to the market-moving events on the calendar, from the Jackson Hole symposium to the monthly data releases. The series' method is preparation over prediction: written expectations, regime maps, and honest ledgers, applied event by event.

The Impact News books follow a shared framework and stand alone in depth: each event gets its own mechanics, its own history, and its own action plan, with no repeated filler between volumes.

Aiman writes from the practitioner's side of the terminal: systems that survive the first minute, risk rules that survive the first loss, and the discipline of grading every event against the expectations written before it.